

3.4.1 Macroeconomic Indicators

The Economic Cycle and Economic Growth

Candidates should be able to analyse and evaluate the causes of changes in the various phases of the economic cycle, including demand-side and supply-side shocks.

Candidates should be able to analyse and evaluate the supply-side factors that are likely to determine the long-run trend rate of growth, such as investment, technology, education and training.

Candidates should be able to analyse and evaluate the various costs and benefits of economic growth. There should be the ability to discuss whether or not economic growth is sustainable and to evaluate the impact of growth on individuals, the economy and the environment.

Uses of National Income Data

Candidates should be able to discuss the use and limitations of national income data to draw conclusions on living standards. They should be able to interpret different types of economic data, such as the Human Development Index, and use them to compare the living standards of the residents of different countries. They should be able to discuss the limitations of using such data to arrive at conclusions.

Unemployment

Candidates should be able to analyse and evaluate the causes of unemployment and the consequences for individuals and the performance of the economy.

They should understand the concept of, and the factors which determine, the natural rate of unemployment and both the short-run and long-run Phillips curves, and be able to discuss the implications of these for economic policy.

Inflation and Deflation

Candidates should have an understanding of how index numbers are calculated and used to measure changes in the price level. Although a detailed technical knowledge is not expected of indices such as the Retail Price Index (RPI) and Consumer Price Index (CPI), candidates should have an awareness of the underlying features, for example, the Family Expenditure Survey, the concept of the 'average family', the basket of goods and services, and weighting.

Candidates should be able to analyse and evaluate the causes of changes in the price level and the consequences for both individuals and the performance of the economy, including the potential impact of a rising or falling price level.

There should be an understanding of Fisher's equation of exchange and the Quantity Theory of Money in relation to the monetarist model.

The possible relevance of expectations to changes in the price level should be understood.